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Data Bootcamp
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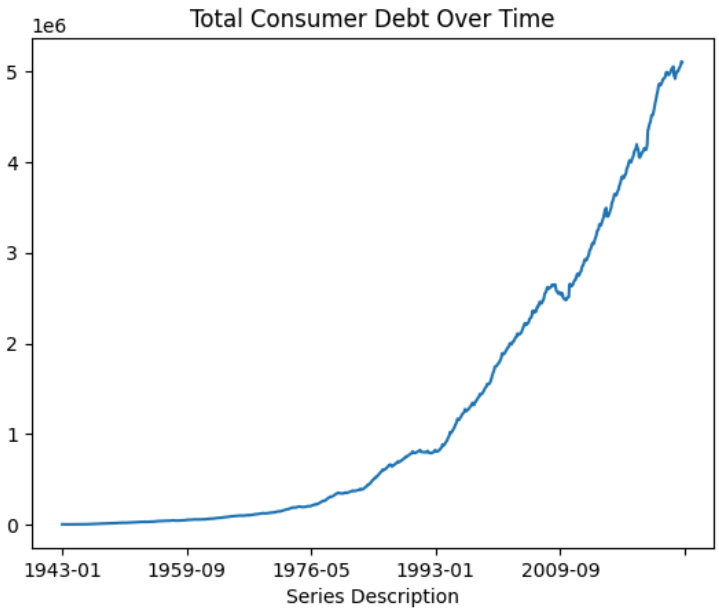
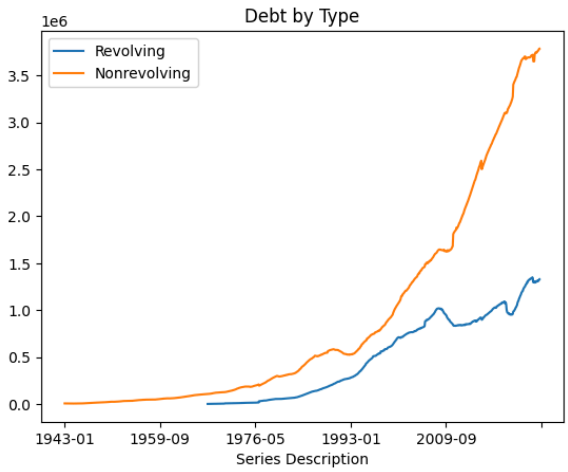
In this, we will look at how consumer debt in the United States has changed from 1943 to 2026. We will look at revolving debt, which is debt from a flexible borrowing arrangement like a credit card or home equity line of credit (HELOC), which pre-approves you for a set limit, and once you repay it, you can effectively borrow again up to that limit, where available credit resets once you repay the issuer. We will also look at non-revolving credit, which is where the borrower receives a one-time set amount of money, and the credit does not replenish once it's paid. Instead, the account closes once the debt is paid off, like a mortgage or student loans. We will also look at whether finance companies (e.g., J.P. Morgan, Berkshire Hathaway) or depository institutions (e.g., Bank of America, Wells Fargo) have issued most of that debt. We will also take a brief look at the average amount financed for new cars by auto finance companies, which can tell us how much the price of cars has increased, given how much people are financing through auto manufacturer dealerships, credit services like Ford Credit, or Toyota Financial Services.

Changes in Revolving and Non-revolving Debt

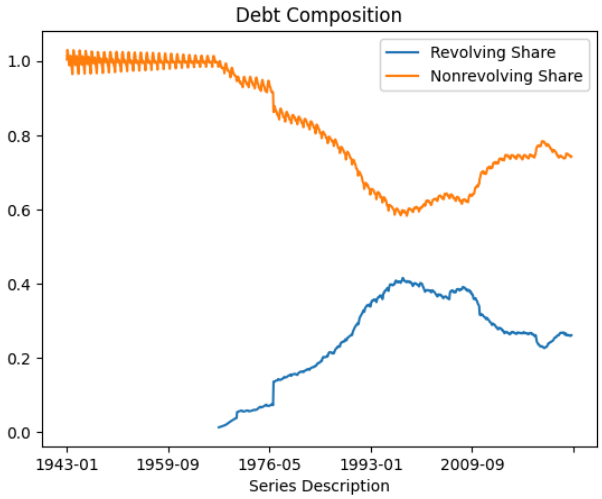


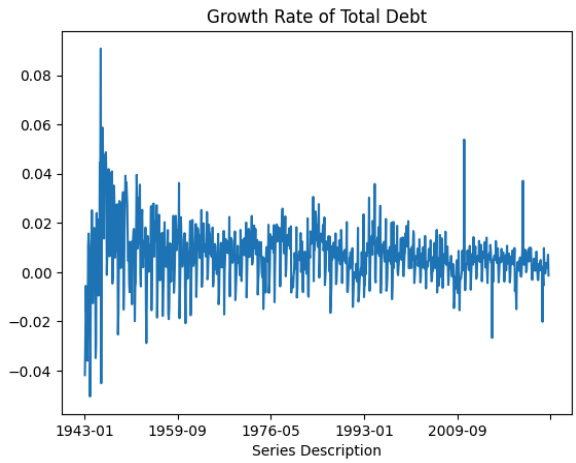
Starting by looking at how revolving and non-revolving debt have changed in America from the mid-20th century to the present. On the Total Consumer Debt Over Time graphs we see how consumer debt has changed over time from the graph. We can see that it grew steadily until around 1979, when it began growing exponentially. This is most likely due to the Federal Reserve's massive interest rate hikes to combat the high inflation at the time, which was around 14%. The second oil crisis at the time also reduced real income, prompting consumers to use credit aggressively to cover everyday expenses. We can also see that after these events, consumer debt continued to grow exponentially to the point where the debt is about $5 trillion dollars today.

Looking more closely at the breakdown of consumer debt with Revolving vs Non revolving debt in the Debt by Type graph. The data on revolving debt only starts around 1968



because the plastic credit cards we know today didn't become a popular mainstream payment tool until the 1960s although the first credit cards were created in the 50s with Diners Club which was just a charge card for entertainment and travel purposes that required full monthly payments. They became more popular due to aggressive bank marketing with the mass mailing of unsolicited cards and the introduction of revolving credit, where the bill did not have to be paid in full every month. Despite this we can see that the amounts of both revolving and non revolving debt start growing at near linear rate then around 1979 due to the previous reasons discussed they both start growing more exponentially with revolving debt growing more exponentially and having a larger share in total debt as the value of most non revolving debt like mortgages and student loans are higher than the credit limits on credit cards. With the average 30-year mortgage in America at around 6%, the median house price in the United States today at $429,189, and the average student loan debt per borrower today between $ 38,387 and $43,333. Whilst the average credit card holder has debt of approximately $6500- $6800. We also see a closer look at the share of debt in the Debt Composition graph, which shows that as credit cards and other forms of revolving credit were introduced, non-revolving debt started making up a smaller share of the composition of debt, but still accounted for more of total debt than revolving debt.



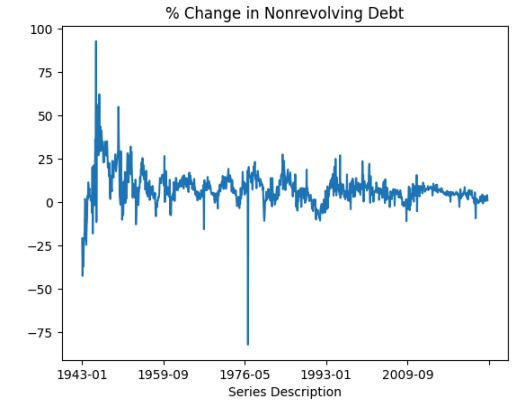


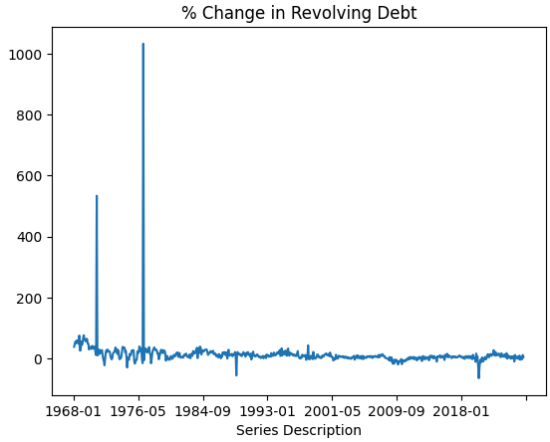
Growth Rates of Debt

The growth rates of the total debt graph, shows that the growth rates of debt have been very volatile at the start, and towards more recent years, it has become less volatile except for spikes around 2008, 2010, and 2020, corresponding to times of economic shocks like the housing bubble burst and COVID. The mid-20th century saw volatile growth rates. From 1943-1945, consumer debt declined due to federal regulations stemming from World War II, which imposed restrictions on loans/ credit to conserve resources for the war and curb inflation, which is why the growth rate was negative during this period. However, immediately after the war, from around 1946-1950, the growth rate skyrocketed as consumer demand for goods like cars and appliances increased.

Percent Changes in Types of Debt

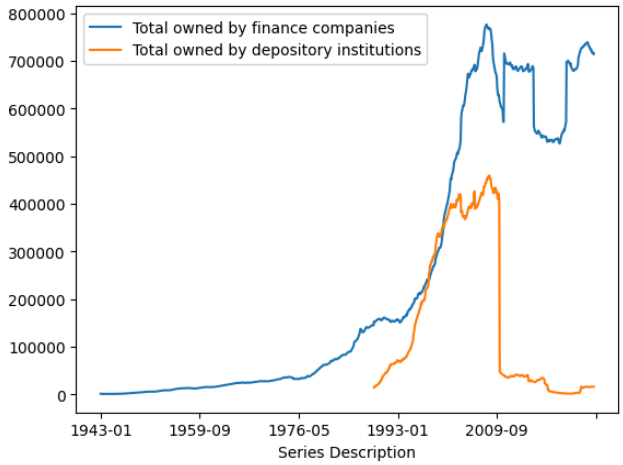
The percent changes in the non-revolving debt graph show us how much consumer spending in those areas has changed. For instance, the graph starts off in the negatives around the 1940's, which is reflective of the wartime restrictions, meaning people were spending less and not taking out any non-revolving loans. Immediately after the war, we also see a spike, which is reflective of how, after the war, there was a boom in consumer spending to make up for the times they couldn't buy things during the war, causing the percentage change to increase. We also see another outlier in this, around 1976, where the percentage change drops to the lowest point ever. This reflects a period of economic downturn in the 70s, marked by high unemployment and economic instability, with high interest and inflation rates. The percent change in revolving loans shows a somewhat opposite growth trend to the non-revolving debt percentage changes. Most notably in 1976, the percentage changes increased dramatically to the highest point it has ever reached, showing that while consumers were most likely using these loans as a way to supplement their income during those times, as a way to help them stay afloat. Despite these outliers, both revolving and non-revolving debt have typically grown at a steady rate, with outliers mostly occurring during economic downturns.





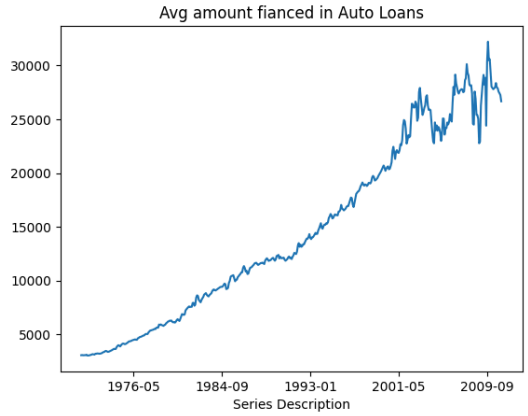
Debt Ownership

Now, the breakdown of who owns the debt. Consumer debt is mostly owned by financial institutions and depository institutions. Financial institutions like J.P. Morgan usually issue consumers more non-revolving loans, such as mortgages and student loans, and occasionally credit cards. While commercial banks offer more revolving credit, such as credit cards and HELOCs, they sometimes also offer mortgages. The Fed's data on total debt owned by depository institutions begins around 1990, as this period marked a major restructuring of how banks' regulatory data was compiled, standardized, and reported. If we look at the period from 1990 to the present day, we can see that finance companies usually had a higher share of consumer debt, which aligns with the fact that they offer more non-revolving loans, and non-revolving loans make up a higher share of total debt. There was only a brief period around the early 2000s when debt held by depository institutions exceeded that held by finance companies. This was due to the 2008 financial crisis, where there was a rapid expansion in mortgage-related debt, and homeowners began refinancing through things like Home Equity Loans, which depository institutions hold the majority of.



Auto Loans

Taking a brief pivot to auto loans: these are another major loan type in the United States. As of 2022 about 92% of households in the US have at least one vehicle with more than 100 million Americans having auto loans. The increase in the number of auto companies that have financed reflects the rising price of cars in America. With car prices rising and interest rates high. This, in turn, contributes to the rising level of consumer debt in the United States, specifically non-revolving debt. The average car in 1940 cost



about $850, while today it costs around $ 50,000; this increase stems from inflation, along with advancements in technology and safety. For instance, the creation of seatbelts, safety sensors, and larger vehicles is part of the reason for the increase in prices. The stark increases and decreases we see in the early 2000s are caused by the lengthening of loan terms, which encouraged consumers to take on larger debts and more expensive cars. In turn, this also contributed to the amounts of nonrevolving debts consumers have taken on. The pandemic has also caused a stark increase in the amount of auto loans being taken out, as it led to supply chain shortages, causing a decrease in the supply of cars while demand stayed the same, thus increasing the price of cars at that time and also contributing to the increase in the amount being loaned.

Conclusion

The results of this show that consumer debt has increased substantially throughout the United States from 1943 to the present. The rapid growth in debt can be attributed to economic factors, including stagnant wages, high inflation rates, high interest rates, and rising costs of living. To cope with these economic changes, consumers have been taking on more debt to keep up with rising costs. The increase in house prices and interest rates has also contributed to the growth of consumer debt, as reflected in the total nonrevolving consumer debt. The rising cost of living and high inflation can be attributed to rising revolving debt, as consumers may use it to keep their heads above water amid higher basic living expenses.

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